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Excellent keep it up!!

**BLESSED GEBREMICHEAL SECONDARY SCHOOL**
**Test 2 FOR GRADE 10 STUDENTS**

**Exam name: - Economics** **Time allowed: - 40 minutes**
**Max weight: - 20%** **Exam date: -**
**Name: -** Bitanya Wondimagegnehu **no.** 12 **section:** 10th B

**Part I: - say 'True' if the statement is correct and say 'False' if the statement is wrong (1 mark)**

1. Irrespective of the proportion, someone can be sure about the direction of change in quantity, when both market demand and supply increases. true
2. The marginal product curve intersects the average product curve at its maximum point. false
3. Elasticity of price can be positive or negative depending on the nature of a product. false
4. The cross-price elasticity between coffee and tea is likely to be negative. false
5. If quantity demand is non-responsive for change in price, elasticity of price will be zero. true
6. AFC rises as output increases. false

**Part II: - choose the best one among the alternatives (1 mark)**

B 1. Among the following, which combinations are **substitute goods**?
   A. Car and fuel
   B. Taxi and bus
   C. Pen and exercise book
   D. Pen and ink

C 2. Suppose supply curve of a given product shifts rightwards, what may be a reason for this shift?
   A. Increase in the price of raw materials ×
   B. Introduction of a tax on that product by the government ×
   C. Introduction of a new technique that makes the production of that commodity cheaper
   D. All of the above

A 3. The market quantity and price equilibrium occurs where:
   A. Market quantity demanded equals market quantity supplied.
   B. The market price is acceptable to participating consumers and producers.
   C. Consumers and producers would like a different price for the same quantity on the market.
   D. None of the above

B 4. Most of the time, price elasticity for necessary goods will be:
   A. Elastic
   B. Inelastic
   C. Positive
   D. Zero

C 5. Which of the following statements is true?
   A. Individual demand and market demand are both the same ×
   B. The price and quantity demanded of a commodity are positively related
   C. At equilibrium, the market demand and supply curves intersect.
   D. None of the above

J + F long variable only

C 6. Which cost exists only in the short run?
   A. Variable cost
   B. Opportunity cost
   C. Fixed cost
   D. Marginal cost

C 7. If goods A and B have a cross-price elasticity of −0.8, they are:
   A. Substitutes
   B. Inferior goods
   C. Complements
   D. . Unrelated goods

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A 8. Which of the following is correct at Stage I in short run production function?
   A. The fixed resource is underutilized
   B. The fixed resource is exhaustively used
   C. The variable resource is underutilized
   D. It's the best place to produce as a rational producer

B 9. When MP becomes negative:
   A. TP is at maximum
   B. TP begins to fall
   C. AP rises
   D. MC falls

A 10. At the minimum point of AVC:
   A. MC intersects AVC
   B. MC is below AVC
   C. AP is negative
   D. MP is rising

**Part III: - discussion question and workout**

1. What is the difference between **change in quantity demand** and **change in demand?(2 pts)**
2. Suppose the inverse demand function for a given consumer is given as:

$$P = 50 - \frac{Q}{2}$$

Then: -

**A.** Find $E_p$ when price is = 10 birr? **(1mark)**
**B.** What will be the amount of quantity demand when p=5? **(1 mark)**

**Answer sheet** name = Bitanya Wondimagegnehu class = 10th B NO = 12

**Part I: - true/False item**

| 1 | 2 | 3 | 4 | 5 | 6 | 7 |
|---|---|---|---|---|---|---|
| True | false | false | false | True | false | |

Part II: - Multiple choice item

| 1 | 2 | 3 | 4 | 5 | 6 | 7 | 8 | 9 | 10 |
|---|---|---|---|---|---|---|---|---|---|
| B | C | A | B | C | C | C | A | B | A |

**Part III: - workout and discussion question**

1, Change in quantity demand: changing the price and keeping another factors constant. Its a ~~change~~ Shift in the same curve

Chang in demand: - keeping price ~~the~~ same. Its a shift right ward or lest ward in d/t curve







2, $2*P = 50 - \frac{Q}{2} * 2$ $\quad : 2P = 100 - Q$

$Q = -2P + 100$

$Q = -2(10) + 100$

$Q_d = -20 + 100 = 80$

B, $Qd = -2p + 100$

$= -2(5) + 100$

$= -10 + 100 = 90$

A, $E_p = \frac{\Delta Qd}{\Delta P} \cdot \frac{P}{Qd}$ & $\frac{\Delta Qd}{\Delta P} = slope = -2$

$-2 * \frac{1P}{80} = \frac{-2}{8} = -0.25$

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**quize FOR GRADE 10 STUDENTS**

**Exam name: - Economics** **Time allowed: - 20 minutes**
**Max weight: - 15%** **Exam date: -**
**Name: -** Bitanya Wondmeagegnehu **no.** 12 **section:** 10th B

**Part I: - choose the best one among the alternatives (1.5 marks each)**

C 1. Under perfectly competitive market, price of a product is determined by:
   A. Firms
   B. Buyers
   C. Market force
   D. Government

C 2. In which market structure, a firm spent large sum of money for advertisement?
   A. Perfect competition
   B. Monopoly
   C. Oligopoly
   D. Monopolistic competition

C 3. A firm under perfectly competitive market faces:
   A. Downward sloping demand curve
   B. Upward sloping demand curve
   C. Horizontal demand curve
   D. Vertical demand curve

B 4. Of the following, which one can be a barrier to entry for new firms?
   A. Homogeneity of products
   B. Economies of scale
   C. Differentiated products
   D. Perfect information

B 5. The current Ethiopian telecommunication market can be a best example for:
   A. Monopoly
   B. Duopoly
   C. Monopsonic
   D. Perfect Competitive

**Part II: - Matching (1.5 marks each)**

| A | B |
|---|---|
| 6. Perfect competition E | A. Technical knowhow |
| 7. Monopoly D | B. Bread market |
| 8. Oligopoly C | C. Beer market |
| 9. Monopolistic competition B | D. Airlines service |
| 10. Entry barrier A | E. Wheat market |

**Answer sheet**

**Part I: -multiple choice item**

| | |
|---|---|
| 1 | C |
| 2 | C |
| 3 | C |
| 4 | B |
| 5 | B |

**Part II: - Matching**

| | |
|---|---|
| 6 | E |
| 7 | D |
| 8 | C |
| 9 | B |
| 10 | A |

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